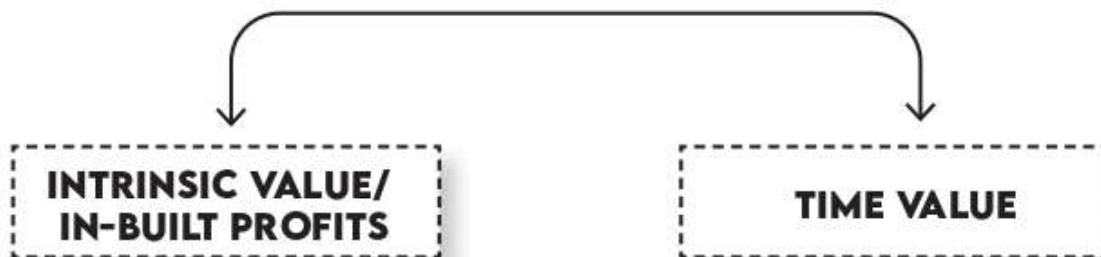


## 9.2 COMPONENTS OF PREMIUM OF OPTIONS

The premium of options basically consists of two components.

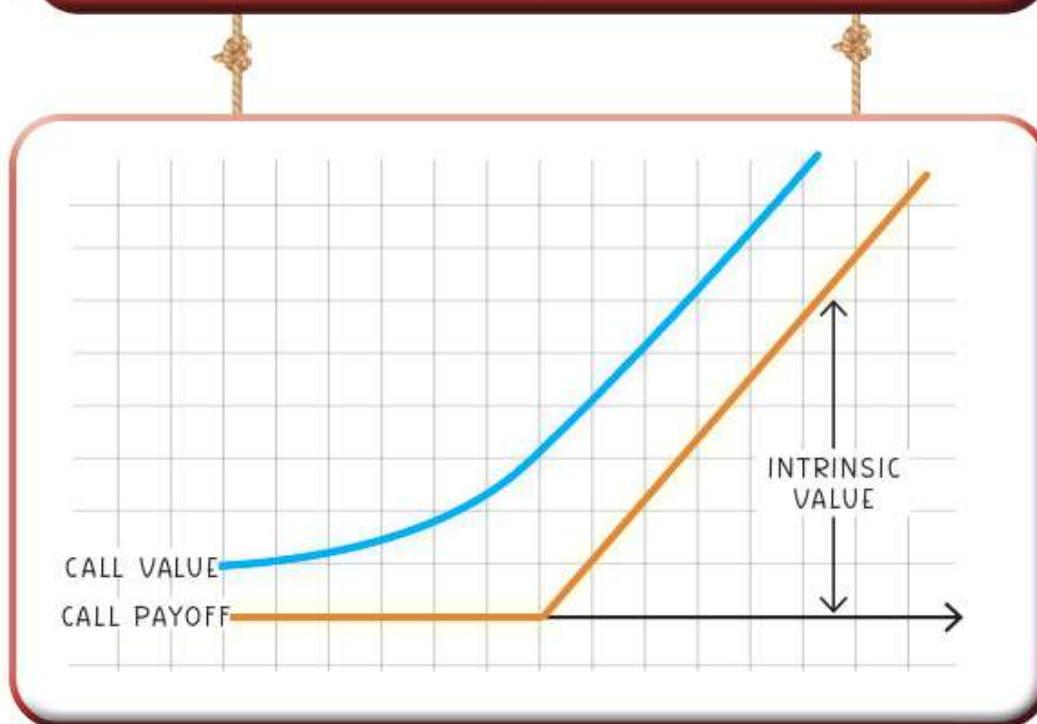


### INTRINSIC VALUE/ IN-BUILT PROFITS

“

THE INTRINSIC VALUE OF AN OPTION IS ITS IN-BUILT VALUE. IT CAN ALSO BE UNDERSTOOD AS IN-BUILT PROFITS AT THE TIME OF TAKING THE TRADE.

”



In-built value only exists for In the money Options. The difference between the Strike Price and Market price of the underlying asset gives the In-built profit value. For Out of money and At the Money Options, the In-built profit value is zero.

*Note - Intrinsic Value may not be the best term to describe the In-built value but due to lack of better word and how beginners understand intrinsic value, we use the word - Intrinsic Value here. In finance at large, Intrinsic Value has a different meaning. It means - The True Value of any asset.*